



BKM INDUSTRIES LIMITED

Sustainable Procurement Policy

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Applicable legal and regulatory framework

This Policy shall be read with the following principal requirements, each as amended, replaced, saved or brought into force from time to time:

- Companies Act, 2013 and National Guidelines on Responsible Business Conduct
- BRSR and BRSR Core/value-chain requirements only to the extent applicable or voluntarily adopted
- Applicable environmental and waste-management laws and the four Labour Codes
- Prevention of Corruption Act, 1988; Competition Act, 2002; and applicable product/quality laws

STATUTORY OVERRIDE

If this Policy is inconsistent with a mandatory law, regulation, rule, circular, stock-exchange direction or judicial order, the mandatory requirement prevails. A more beneficial statutory employment benefit also prevails.

Supplier due-diligence and contracting controls

- Risk-tier suppliers based on spend, jurisdiction, criticality, labour, EHS, human-rights, integrity, cyber/data and environmental exposure.
- Complete sanctions/debarment, beneficial-ownership, conflict, anti-bribery, labour/EHS and capability checks proportionate to tier.
- Include audit, information, corrective-action, flow-down, confidentiality/data, incident-reporting and termination rights in material contracts.
- Monitor higher-risk suppliers, document exceptions and remediate or exit where serious breach is not corrected.
- Treat NGRBC/BRSR value-chain metrics as mandatory only if applicable to the Company; otherwise they may be used as voluntary improvement measures.

Policy provisions

Preface

BKM Industries Limited (“BKM” or “the Company”), we believe that responsible business practices are essential for long-term growth and sustainability. As a company engaged in packaging and industrial manufacturing solutions, we understand that our procurement decisions directly impact product quality, communities, and the environment.

The company is focused on consistently creating value for our consumers and conserving natural resources at the same time.

The sustainable procurement policy reflects our commitment to building a supply chain that is ethical, transparent, environmentally responsible, and socially conscious. We aim to work with suppliers and business partners who share our values and support our vision of sustainable and responsible growth.

Through this value, BKM seeks to strengthen sourcing practices, encouraging continuous improvement across the supply chain, and creating long-term value for all stakeholders.

Our Philosophy

Sustainability is not just a compliance requirement for BKM — it is an important part of how we conduct business every day. We believe that business success should go hand in hand with environmental responsibility, ethical conduct, and social well-being.

Our approach is built on a few business principles:

Conduct business honestly, fairly, and responsibly.

Build long-term and transparent relationships with partners.

Minimize environmental impact through efficient operations

Promote safe, healthy, and inclusive workplaces

Encourage innovation and sustainable manufacturing practices

Create value for customers, employees, communities, and stakeholders

We are committed to continuously improving our operations and supply chain practices to support sustainable industrial growth.

Sustainable Procurement Commitment

BKM is committed to developing a responsible and sustainable supply chain. We expect our suppliers, contractors, and business partners to operate with integrity and follow ethical, environmental, and social standards.

Our procurement practices focus on:

- Ethical and responsible sourcing
- Compliance with applicable laws and regulations
- Safe and fair working conditions
- Reducing environmental impact
- Efficient use of energy, water, and raw materials
- Quality and operational excellence

- Transparency and accountability across the supply chain

We encourage suppliers to adopt globally recognized management systems and continuously improve their sustainability performance.

Scope And Applicability

The policy applies to:

All suppliers, vendors, contractors, and service providers associated with BKM.

Procurement of raw materials, packaging materials, machinery, consumables, transportation, and outsourced services.

Employees involved in procurement, sourcing, quality, operations, and supplier management.

- We also expect our suppliers to communicate these principles within their own supply chains and ensure responsible practices across their operations.

Supplier ethics and compliance

Compliance with Laws

All suppliers are expected to comply with applicable laws and regulations related to labour, environment, health, and safety, taxation, anti-corruption, and product quality.

Suppliers should maintain all required licenses, permits, registrations, and statutory approvals necessary for their business operations.

Ethical business conduct

BKM values honesty, integrity, and transparency in every business interaction. We expect our suppliers to maintain the same standards in their operations and dealings.

Suppliers should:

- Conduct business fairly and ethically
- Maintain accurate and transparent records
- Avoid fraudulent or misleading practices
- Honour contractual commitments
- Respect confidentiality and data privacy requirements

Human Rights and Labour Practices

We are committed to respecting human rights and promoting fair labour practices throughout our supply chain.

Suppliers are expected to:

Prohibit child labour, forced labour, and bonded labour

Provide fair wages and lawful working conditions

Ensure non-discrimination and equal opportunity

Maintain workplaces free from harassment or abuse

Respect employee rights and dignity

BKM encourages suppliers to create inclusive workplaces that support diversity and equal opportunity for all employees.

Health and Safety

The safety and well-being of workers is a priority for BKM. Suppliers are expected to provide safe and healthy working environments for their employees and contractors.

Suppliers should:

- Identify and minimize workplace hazards
- Provide proper safety training and awareness
- Ensure safe operation of machinery and equipment
- Provide necessary personal protective equipment (PPE)
- Maintain emergency preparedness procedures
- Promote hygiene and workplace cleanliness

We encourage suppliers to adopt recognized occupational health and safety standards wherever possible.

Environmental Responsibility

BKM recognizes the importance of protecting the environment and minimizing the environmental impact of business operations.

Suppliers are encouraged to:

- Reduce emissions, waste, and pollution
- Improve energy and water efficiency
- Use resources responsibly
- Minimize the use of hazardous substances
- Follow environmentally responsible manufacturing practices
- Comply with applicable environmental laws and permits

We believe that small improvements across the supply chain can collectively create meaningful environmental impact.

Responsible Sourcing

BKM encourages responsible sourcing of raw materials, metals, chemicals, packaging materials, and other industrial inputs.

Suppliers should make reasonable efforts to:

Ensure ethical sourcing practices

Promote recyclable and recycled materials where feasible

Improve supply chain transparency and traceability

Avoid environmentally harmful sourcing practices

Reduce the use of unsustainable or hazardous materials

We support circular economy initiatives that promote reuse, recycling, and responsible material management.

Anti-Bribery and Anti-Corruption

BKM follows a zero-tolerance approach toward bribery and corruption.

Suppliers must not:

Offer or accept bribes or kickbacks

Attempt to improperly influence business decisions

Provide gifts or benefits intended to secure unfair advantage

All business interactions should be conducted transparently and in compliance with applicable anti-corruption laws.

Conflict of Interest

Suppliers should avoid situations that may create actual or perceived conflicts of interest in dealings with BKM.

Any potential conflict that may affect impartial business decisions should be disclosed promptly to the Company.

Fair Competition Practices

BKM supports fair and healthy competition. Suppliers are expected to comply with competition and anti-trust laws and avoid practices such as:

- Price fixing
- Bid manipulation
- Sharing confidential market information
- Anti-competitive agreements

Confidentiality and Information Protection

Suppliers must protect confidential information shared by BKM and use such information only for authorized business purposes.

This includes protecting business data, technical information, product specifications, designs, and commercial information.

Reporting Concerns

Suppliers are encouraged to report any unethical conduct, violations of this Policy, fraud, corruption, or compliance concerns.

BKM will treat such concerns confidentially and without retaliation.

Social Responsibility**Employee Welfare and Inclusion**

BKM values people and believes that a positive work culture drives sustainable growth.

We encourage suppliers to:

- Promote employee well-being and development
- Foster inclusive and respectful workplaces
- Encourage workforce diversity
- Support equal opportunity employment practices

Community Engagement

We believe businesses should contribute positively to the communities in which they operate.

Suppliers are encouraged to engage responsibly with local communities and support initiatives related to:

- Local employment generation
- Community welfare
- Skill development
- Social and environmental awareness

Local and Responsible Procurement

Wherever feasible, BKM encourages procurement from local and responsible suppliers to strengthen regional supply chains and support inclusive economic development.

Environmental Sustainability

Resource Efficiency

BKM believes efficient manufacturing practices not only reduce operational costs but also help conserve natural resources and improve long-term sustainability outcomes.

Efficient resource management helps reduce costs while also minimizing environmental impact.

Energy and Emissions Management

BKM encourages suppliers to monitor and reduce greenhouse gas emissions and improve energy performance.

Suppliers are encouraged to explore:

- Energy-efficient technologies
- Cleaner production methods
- Renewable energy opportunities
- Carbon reduction initiatives

Waste Management and Recycling

Suppliers should work towards reducing waste generation and promoting responsible waste management practices.

This includes:

- Reduce, Reuse, Recycle initiatives
- Proper segregation and disposal of waste
- Recycling of industrial scrap and packaging waste
- Reduction of landfill disposal

Sustainable Packaging

As a company associated with packaging solutions, BKM supports the development and use of sustainable packaging practices.

Suppliers are encouraged to:

- Increase recyclable packaging content

- Reduce excess packaging material
- Improve packaging efficiency
- Use environmentally responsible materials wherever feasible

Water Stewardship

Suppliers should use water responsibly and take steps to reduce water consumption and prevent pollution.

Where feasible, suppliers are encouraged to adopt water recycling and wastewater treatment practices.

Hazardous Material Management

Suppliers should ensure safe handling, storage, transportation, and disposal of hazardous substances in compliance with applicable regulations and industry standards.

Quality And Operational Excellence

Quality Management

BKM expects suppliers to maintain strong quality management practices to ensure consistency, reliability, and compliance with product standards.

Suppliers are encouraged to adopt recognized quality systems and continuously improve operational performance.

Manufacturing and Process Excellence

Suppliers should maintain efficient manufacturing operations through:

- Preventive maintenance of machinery
- Good housekeeping practices
- Process improvement initiatives
- Workplace safety and hygiene controls

Product Compliance and Traceability

Suppliers are expected to ensure that materials and products supplied to BKM comply with applicable regulatory and quality requirements.

Maintaining traceability and proper documentation is encouraged to improve supply chain transparency.

Continuous Improvement

BKM may periodically evaluate suppliers on parameters such as quality, delivery, sustainability practices, safety performance, and ethical conduct.

We encourage suppliers to continuously improve their environmental, social, and operational performance and work collaboratively with us toward shared sustainability goals.

Implementation Of The Policy

This Policy will be implemented through supplier engagement, awareness programs, evaluations, and periodic reviews. Sustainability considerations may form part of procurement and vendor assessment processes.

Employees involved in procurement and supplier management are expected to support and uphold the principles outlined in this Policy.

Suppliers are encouraged to establish internal systems and processes to support compliance and continuous improvement.

Monitoring And Review

BKM may monitor supplier compliance through:

- Supplier self-assessment questionnaires
- Documentation reviews
- Audits and inspections
- Sustainability performance tracking

The Company reserves the right to review and update this Policy periodically to align with evolving business needs, regulations, and sustainability expectations.

Non-compliance with this Policy may impact supplier relationships and future business engagement with BKM.

Conclusion

BKM Industries Limited is committed to building a responsible, transparent, and sustainable supply chain that supports long-term business growth while protecting the environment and supporting communities.

We believe that meaningful progress can be achieved through collaboration, accountability, and continuous improvement. By working together with our suppliers and stakeholders, we aim to create lasting value and contribute toward a more sustainable future.

Governance, monitoring and records

- Policy owner: Head – Procurement. The owner shall maintain procedures, registers, evidence and training appropriate to the control risks.
- Functional heads must escalate suspected breaches promptly and cooperate with reviews or investigations.
- Records must be accurate, access-controlled and retained for the longer of the statutory period, an applicable legal hold and the Company's Preservation Policy.
- A person who raises a concern in good faith is protected from retaliation, subject to the Company's whistleblower framework.

Review, approval and controlled disclosure

This Policy shall be reviewed annually and earlier on a material legal, regulatory, operational or organisational change. Amendments require approval by the Board of Directors unless a law permits a delegated, non-substantive update.

This is an internal controlled document. External disclosure is permitted only where required by law or specifically authorised through the Company's disclosure controls.